Diageo plc (LSE: DGE)

Rating: SELL | Fair value 1,448p | Share price 1,673p (12 Oct 2026) | Downside -13.5%

Thesis

- **The share price already assumes a recovery at a discount rate the risk does not justify.** At an evidence-based beta (0.96, industry bottom-up) and a market cost of debt (risk-free + 1%), the WACC is 8.46% and the fair value is 1,448p. The market is pricing a WACC of roughly 7.8%.
- **Growth has stalled and self-help is the whole story.** Organic net sales fell 2.0% in FY26, and North America fell 8.4%. The c.USD 1bn savings plan (USD 850m operating framework, USD 150m supply chain) is the main source of profit growth. Management says the savings fund reinvestment "without reducing operating profit".
- **The balance sheet limits the upside.** Leverage is 3.14x, above the 2.5-3.0x target, and the dividend has been cut. The EABL (c.USD 2.3bn) and Royal Challengers Bengaluru (our share c.USD 1,018m) disposals help, but have not yet closed.

Valuation

The DCF is in USD and converted to pence at USD 1.3234 per GBP. Base-year net sales are USD 18,505.5m excluding EABL. Organic growth is 0.0%, 1.5%, 2.5%, 3.0% and 3.0% (FY27-31, low end of guidance), with 50% savings flow-through and 2.0% terminal growth.

WACC is 8.46%:

- risk-free 5.22% (US 10-year)
- beta 0.96 (bottom-up: Damodaran global alcoholic beverages, unlevered 0.73, relevered at Diageo's debt/equity of 0.416)
- ERP 5.0%, so a cost of equity of 10.02%
- pre-tax cost of debt 6.22% (risk-free + 1.0%)
- debt weight 29.4%

The model gives an enterprise value of USD 56,530m and an equity value of USD 42,568m, which is USD 19.16 or 1,448p per share. The terminal value is 74.9% of EV, and the implied exit multiple is 8.6x EBITDA. The bear scenario gives 1,071p.

Comps are thin: only two peers have usable data. A median P/E of 14.0x (Pernod Ricard 10.7x, Brown-Forman 17.4x) implies 1,753p. **The DCF is 17% below comps.**

Value per share (p)	g 1.5%	g 2.0%	g 2.5%
WACC 7.46%	1,642	1,800	1,989
WACC 7.96%	1,478	1,609	1,764
WACC 8.46%	1,338	1,448	1,576
WACC 8.96%	1,216	1,309	1,418

Fundamentals

- **Growth has stalled:** organic net sales growth was 6.5% in FY23, then -0.6%, 1.7% and -2.0% in FY26. North America (USD 7,249m) fell 8.4% organically. Africa grew 13.3% and Latin America & Caribbean 7.7%.
- **Margins have compressed:** operating margin before exceptionals went from 31.1% (FY22) to 28.9% (FY26). Exceptional charges of USD 2,527m cut the reported margin to 16.1%.
- **Cash is improving:** free cash flow went from USD 2,235m (FY23) to USD 3,211m (FY26).

- **Balance sheet:** interest cover fell from 13.6x (FY22) to 7.0x (FY26). ROIC is 13.4%.

Risks

- **Beta:** precise estimates of Diageo's own beta range from 0.60 to 0.77. The best is 0.72 (5y weekly vs FTSE 100, standard error 0.11). We use the industry bottom-up 0.96, which is more robust but sits just above that range.
- **Volatility:** 31.6% (1 year) vs 12.5% for the FTSE 100.
- **Drawdown:** maximum -66.8% (4 Jan 2022 to 24 Mar 2026).
- **Leverage:** 3.14x vs a 2.5-3.0x target.

The case against our SELL, and our response

1. **Beta may be too high.** At Diageo's own beta of 0.72, the value is 1,738p (+3.9%, HOLD). *Response: our regression for Diageo explains 15% of its moves. The industry beta averages 217 firms and reflects Diageo's above-average debt. The PM chose 0.96.*

2. **Self-help could beat the model.** The model keeps only 50% of the savings, and the market is pricing about 7.8% WACC. *Response: management's 2023-26 record (organic sales CAGR -0.3% vs a 4.0% target) argues against giving more credit.*

What could make it worse

- **Savings fully reinvested:** 1,266p (-181p).
- **Terminal growth of 1.5%:** 1,338p (-110p).
- **A 2% credit spread:** 1,384p (-64p).
- **Zero growth:** 1,398p (-49p).
- **Stale net debt:** the 30c final dividend costs 23p.

Sources

- Diageo Form 20-F FY26 (SEC accession 0001628280-26-057529): financial statements, p.13, p.21, p.22, p.85, p.110, p.186-189, p.210-211, regional reviews pp.27-31.
- Diageo 20-F FY22-FY25 (SEC EDGAR XBRL); Capital Markets Day 6-K, 6 Aug 2026.
- Yahoo Finance (DGE.L, FTSE 100, MSCI ACWI, peer prices, KES/USD); FRED (DGS10, DEXUSUK).
- Damodaran Online, Betas by Sector (Global), January 2026.
- Non-filing: EABL FY26 results (press), RCB sale (USL/press), Pernod Ricard FY26 (press), IWSR (press).
- Agent outputs: runs/DGE/2026-10-12/ (data, risk, fundamentals, valuation, bear).